

Comment of Tokenization Systems on FINCEN-2026-0100

Docket: FINCEN-2026-0100; RIN 1506-AB73

Re: Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Programs and Effective Sanctions Compliance Programs

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Executive summary

The joint FinCEN-OFAC NPRM at FINCEN-2026-0100 operationalizes the first statutory control-layer mandate in U.S. financial regulation. The GENIUS Act requires Permitted Payment Stablecoin Issuers (PPSIs) to have the technical capability to block, freeze, and reject transactions (proposed 31 CFR 1033.240) and to comply with lawful orders. These requirements, applied to both primary and secondary market activity, are a structural regulatory innovation.

Tokenization Systems supports the NPRM's structural approach, including the exercise of 31 U.S.C. 5312(a)(2)(Y) authority, the primary/secondary market framework, the MSB carve-out at proposed 31 CFR 1010.100(ff)(8)(iii), and the five-element sanctions compliance program at proposed 31 CFR 502.201(b).

The comment presents ten recommendations directed at specific provisions. Three recommendations focus on the highest-leverage question sets in the NPRM (Questions 27 through 32 on technical capabilities, Questions 35 through 39 on SAR obligations, and Questions 5 through 7 on definitions):

- **Recommendation 2 (Questions 27-32):** Require operational verification of block/freeze/reject capability through independent testing, for both primary and secondary market transactions. Technical capability cannot be presumed from the existence of smart contract functions. The NPRM's flexibility on technical methods is correct; the verification requirement preserves that flexibility while ensuring the capability is functional.
- **Recommendation 3 (Questions 5-7):** Clarify that the definition of "account" in proposed 31 CFR 1010.100(rrr) includes wallet addresses. Without this, lawful orders targeted at specific wallet addresses may be challenged as insufficiently particular. Additional clarifications address definitional boundary cases for tokenized deposits and basket-pegged stablecoin-like products.
- **Recommendation 5 (Questions 35-39):** Adopt a graduated secondary market SAR framework tied to 314(a) requests and executed block/freeze/reject actions, rather than either a blanket secondary market SAR obligation or no obligation. The final rule should also clarify the interaction between SAR reporting and block/freeze/reject and lawful order obligations.

Two additional recommendations address structural issues outside the highest-leverage question sets:

- **Recommendation 6:** Require PPSI risk assessments to address reserve custody relationships, including concentration risk, jurisdictional risk, and operational risk. The Federal Reserve FEDS Note by Du, Sonawane, and Watsky ([DOI 10.17016/2380-7172.3958](#)) documents the custodial concentration channel during the March 2023 Silicon Valley Bank episode.
- **Recommendation 9:** Coordinate the final rule with the parallel FinCEN general AML NPRM (FINCEN-2026-0034) and the banking agency NPRM ([91 Fed. Reg. 18304](#)), with specific attention to the Federal Reserve Board's non-participation in the banking agency rulemaking.

A preamble to the recommendations applies the MVEP framework systematically to Questions 8 through 19 on AML/CFT program design. Five of the ten MVEP categories map directly to specific provisions of proposed 31 CFR 1033.210 and related sections.

The comment is submitted alongside companion comments on [FINCEN-2026-0034](#) (general AML/CFT program) and [91 Fed. Reg. 18304](#) (banking agency joint rule). The three filings are intended to be read together.

To the Director of FinCEN and the Director of OFAC

This comment is submitted on behalf of Tokenization Systems, an independent research and advisory practice analyzing the structure of federal regulation of tokenized financial infrastructure. Its Q1 2026 research program produced eight papers, four of which address stablecoin and digital dollar infrastructure directly. The core analytical framework developed through this work is the [Control Layer Intensity Index](#) (CLII), which characterizes stablecoin issuers and related operators by the intensity with which they exercise control over the issuance, routing, and destruction of stablecoin units. The companion framework, [Minimum Viable Equivalence Pack](#) (MVEP), is a ten-category diagnostic that specifies the minimum legal, operational, and economic features required for a tokenized instrument to provide the functional equivalents of the protections afforded to bank depositors. Applied to stablecoin regulation, MVEP provides a principled basis for distinguishing operators whose architectures merit differentiated regulatory treatment from those whose architectures do not.

The joint FinCEN-OFAC NPRM at FINCEN-2026-0100 is among the most consequential regulatory actions of the current GENIUS Act implementation cycle. The GENIUS Act imposes two technical capability requirements on Permitted Payment Stablecoin Issuers (PPSIs). First, a PPSI must have policies, procedures, and technical capabilities to block, freeze, and reject specific or impermissible transactions. Second, a PPSI must have the technological capability to comply with any lawful order. These requirements, operationalized in proposed 31 CFR 1033.240 and in proposed 31 CFR part 502, are the first instance in which U.S. financial regulation has imposed an affirmative operational-capability mandate on an intermediary for the purpose of controlling transactions in an issued instrument.

The rulemaking is consistent with the broader thesis of the Tokenization Systems research program: the locus of regulation and audit should be the operator and router, not the token itself. The NPRM's structural decomposition of PPSI activity into primary and secondary market components, together with its application of technical capability requirements to both market segments, reflects this approach.

This comment addresses the NPRM in three parts. Section I analyzes FinCEN's exercise of 31 U.S.C. 5312(a)(2)(Y) authority to define PPSIs as financial institutions, the primary/secondary market framework in section VI.B of the NPRM preamble, and the MSB carve-out. Section II addresses the proposed 31 CFR 1033.240 technical capability requirements, the sanctions compliance program elements in proposed 31 CFR 502.201(b), and the scope of the lawful order definition. Section III presents ten recommendations

directed at specific provisions of the NPRM, each tied to the NPRM's question set where applicable. Section IV addresses the OFAC question set. A brief closing section addresses coordination with the parallel FinCEN general AML rulemaking (FINCEN-2026-0034) and the banking agency rulemaking (91 Fed. Reg. 18304).

Tokenization Systems has submitted prior comments on related GENIUS Act implementation rulemakings. On the OCC Permitted Payment Stablecoin Issuer NPRM (docket [OCC-2025-0372](#)), the research program filed an [original comment](#) on April 10, 2026 and a [supplemental comment](#) on April 13, 2026. On Treasury's state-similarity rulemaking (TREAS-DO-2026-0232), the research program filed a comment on April 15, 2026. A companion comment on the FinCEN general AML/CFT program NPRM ([FINCEN-2026-0034](#)) is submitted alongside this comment. The recommendations in this comment are cross-referenced with those parallel filings.

I. Structural analysis of the PPSI regulatory framework

I.A. FinCEN's exercise of 31 U.S.C. 5312(a)(2)(Y) is structurally significant

The NPRM's decision to use 31 U.S.C. 5312(a)(2)(Y) to define PPSIs as financial institutions is the first exercise of this authority for a category of digital asset issuers. The statutory authority permits FinCEN to designate a business as a financial institution when that business engages in activities similar to, related to, or a substitute for the activities of an enumerated financial institution. The NPRM's rationale, set out in section VI.A.1 of the preamble, identifies overlapping activity with both banks (through reserve custody and redemption) and money services businesses (through issuance and transmission of value).

The use of 5312(a)(2)(Y) rather than a new statutory financial institution category or a different existing category is consistent with the research program's position that tokenized financial infrastructure is most appropriately regulated through existing regulatory channels that attach to intermediaries and operators, rather than through token-specific classification. The NPRM's approach preserves the flexibility of the BSA framework while bringing PPSIs under its scope. This choice reduces the risk that subsequent tokenized asset categories will require case-specific statutory action; future asset classes whose issuers engage in activities similar to existing financial institutions can be brought under BSA coverage through the same authority.

I.B. The primary/secondary market framework is control-layer decomposition

The NPRM uses primary market and secondary market as descriptive categories for the purpose of calibrating obligations. The operational distinction is clear: primary market activity involves direct interaction between the PPSI and a user (issuance, redemption, custody, and related services), while secondary market activity involves transfers that do not directly involve the PPSI as a party other than through interaction with the PPSI's smart contract. The NPRM applies some obligations (block/freeze/reject under proposed 31 CFR 1033.240(a), lawful order compliance under proposed 31 CFR 1033.240(b), and sanctions compliance internal controls under proposed 31 CFR 502.201(b)(3)) to both markets, while applying others (customer due diligence, SAR reporting) only to the primary market.

This structural choice is consistent with the Control Layer Intensity Index. Control-layer operators can exercise control at different operational layers: the issuance layer (minting, redemption, reserve custody), the routing layer (smart contract deployment, block/freeze/reject capability), and the settlement layer (lawful order execution). The NPRM's decision to apply block/freeze/reject and lawful order requirements to both primary and secondary market activity is consistent with the fact that the routing layer operates

independently of the PPSI's direct counterparty relationships. A PPSI can prevent a secondary market transfer through smart contract instruction without being a party to the underlying transaction, because the PPSI's control over the smart contract is the control mechanism, not the PPSI's relationship with the transacting parties.

The dual application is essential to the overall regulatory architecture. Supervision of the issuance layer alone, without routing-layer technical capability, would allow illicit activity to migrate to secondary markets. Supervision of the routing layer alone, without issuance-layer controls, would allow illicit actors to obtain stablecoins through direct issuance. The NPRM's dual application of certain obligations addresses both risks.

I.C. The MSB carve-out partitions regulatory space cleanly

Proposed 31 CFR 1010.100(ff)(8)(iii) removes PPSIs from the MSB definition. Non-PPSI stablecoin issuers, including issuers of stablecoins that do not meet the GENIUS Act's payment stablecoin definition, remain subject to MSB regulation. The partition creates a clear regulatory boundary: PPSIs are subject to the tailored requirements of this NPRM, and other stablecoin issuers are subject to MSB requirements under the general FinCEN AML rulemaking at FINCEN-2026-0034.

One coordination question follows from this partition. A stablecoin issuer may, at any given time, issue both payment stablecoins (subject to PPSI regulation) and non-payment stablecoin digital assets (subject to MSB regulation). The NPRM should clarify whether such an issuer would be subject to PPSI requirements for its payment stablecoin activities and MSB requirements for its other activities, or whether the PPSI status would extend across all of the issuer's activities. This is addressed in Recommendation 1 below.

II. The GENIUS Act technical capability requirements as the first statutory control-layer mandate

II.A. Proposed 31 CFR 1033.240 operationalizes a structural regulatory innovation

The GENIUS Act requires PPSIs to have the technical capabilities, policies, and procedures to block, freeze, and reject transactions that violate Federal or State laws, rules, or regulations. This is the first instance in U.S. financial regulation where the affirmative operational capability of an intermediary to act on transactions in an issued instrument is mandated by statute. Existing sanctions regulation obligates U.S. persons, including stablecoin issuers, not to engage in prohibited transactions. The GENIUS Act additionally requires the existence of the technical capability to prevent such transactions from occurring on the secondary market, where the PPSI is not a party to the transaction but its smart contract is the routing mechanism.

This is a structural regulatory innovation. U.S. financial regulation has historically imposed obligations on intermediaries with respect to their own activities and with respect to transactions occurring through their accounts. The GENIUS Act, as operationalized in proposed 31 CFR 1033.240, goes further: PPSIs must maintain the technical capability to act on transactions in instruments they have issued even when the PPSI is not a party to the transaction.

A forthcoming paper in the research program formalizes the control-layer framework that accounts for this structure and that the program has applied across its comment letter record. The framework characterizes the operational topology of tokenized financial infrastructure: the points at which intermediaries exercise control over issuance, routing, and settlement, and the intensity with which they do so. MVEP, cited in

the opening, applies that characterization to test products against a given obligation set; the forthcoming paper works at the level of the characterization itself. This rulemaking is a central applied context because it attaches obligations at specific points in the control-layer topology: AML/CFT program obligations at the issuance layer (proposed 31 CFR 1033.210), technical capability requirements at the routing layer (proposed 31 CFR 1033.240), and sanctions compliance across both layers (proposed 31 CFR 502.201(b)).

The program has applied the same framework to parallel dimensions of GENIUS Act implementation in prior comment letters: issuer-level supervisory requirements and interface-layer conduct in the OCC comment letter, and state-similarity assessment in the Treasury comment letter. This rulemaking addresses the AML/CFT and sanctions compliance dimensions of the same statute, at the issuance and routing layers.

II.B. The sanctions compliance program extends the control-layer mandate to sanctions

Proposed 31 CFR 502.201(b) extends a parallel requirement to the sanctions compliance program. The five-element structure (senior management commitment, risk assessment, internal controls, testing and auditing, training) is consistent with OFAC's 2019 Framework for OFAC Compliance Commitments. What is new is the requirement at proposed 31 CFR 502.201(b)(3): internal controls must include technical capabilities to identify, block, and reject transactions that may violate or would violate U.S. sanctions, with the capability applying to both primary and secondary market activity. This operationalizes the GENIUS Act's statutory mandate through OFAC's sanctions compliance program structure.

The five-element structure aligns with the Control Layer Intensity Index (CLII). An issuer whose sanctions compliance program demonstrates all five elements functioning effectively across both primary and secondary market transactions, including through routing-layer technical capability, exhibits the highest CLII intensity. An issuer whose program covers only primary market activity, or whose routing-layer capability is present but not operationally verified, exhibits lower CLII intensity. The NPRM's requirement that all five elements be present, with technical capability operative on both markets, is consistent with the highest-intensity standard.

II.C. The lawful order definition is the apex of control-layer obligation

Proposed 31 CFR 1010.100(rrr) defines lawful order through three elements: (1) requires the issuer to seize, freeze, burn, or prevent transfer of payment stablecoins; (2) specifies the stablecoins or accounts with reasonable particularity; and (3) is subject to judicial or administrative review or appeal. The lawful order obligation is the apex of the control-layer mandate because it converts maintained capability into compelled action: proposed 31 CFR 1033.240(a) requires the PPSI to be capable of blocking or freezing; the lawful order provisions require the PPSI to do so on an externally designated target, under an order subject to judicial or administrative review. The obligation extends to stablecoins held in a PPSI-controlled account and to stablecoins in a self-hosted wallet engaged in secondary market activity.

Wallet addresses should be included within the definition of "account," as addressed in Recommendation 3 below. The structural reason is clear: a lawful order targeted at a specific wallet address cannot be executed by a PPSI if "account" is interpreted to exclude wallet addresses. The PPSI's routing-layer capability operates on wallet addresses, and if lawful orders cannot be issued against wallet addresses, the routing-layer capability cannot be compelled by court order. Question 7 in the NPRM preamble invites comment on this point, and the research program's analysis supports affirming that wallet addresses are accounts within the meaning of the definition.

III. Recommendations

Application of the MVEP framework to AML/CFT program design (Questions 8 through 19)

The research program's Minimum Viable Equivalence Pack (MVEP) framework provides the analytical basis for the AML/CFT program recommendations that follow. MVEP decomposes the minimum regulatory obligations for stablecoin deposit-equivalence into ten categories. Five categories are directly relevant to the AML/CFT program design in proposed 31 CFR 1033.210 and related provisions:

MVEP Category	AML/CFT program mapping
Category 1: Rights Parity	Customer relationship definition; ongoing customer due diligence at proposed 31 CFR 1033.210(b)(1)(iii)
Category 3: Records and Reconciliation	Recordkeeping and Travel Rule via proposed 31 CFR 1033.410 (cross-reference to 31 CFR 1010.410(e) and (f))
Category 5: Insolvency Posture	Correspondent account and private banking diligence at proposed 31 CFR 1033.610 and 1033.620 (counterparty exposure structure)
Category 8: Governance and Change Control	Written program, board or senior management approval, AML/CFT officer designation at proposed 31 CFR 1033.210(b)(3) and 1033.210(d); block/freeze/reject and lawful order technical capability at proposed 31 CFR 1033.240, as a governance-level operational control
Category 9: Disclosures	Customer-facing disclosure of AML/CFT program scope, sanctions compliance, and the legal nature of holder claims

The Control Layer Intensity Index (CLII) operates as a companion framework that characterizes operator-level control across the life cycle of a payment stablecoin unit, including block/freeze/reject capability. Where the MVEP Category 8 mapping above references operational control capability, CLII provides the quantitative characterization of that control.

Applying this framework to Questions 8 through 19:

Question 8 (secondary market risks): Secondary market risks are captured primarily under Category 8 (Governance and Change Control) via the block/freeze/reject and lawful order technical capabilities, with the Control Layer Intensity Index (CLII) characterizing the operational intensity of that control. The NPRM's decision to apply these capabilities to secondary market activity is consistent with the MVEP framework. Secondary market risks that fall outside Category 8 (for example, risks from interface operator conduct rather than smart contract execution) are addressed through risk assessment requirements at proposed 31 CFR 1033.210(b)(1)(i)(A), which explicitly includes distribution channels.

Question 9 (effective program clarity): The proposed description of an effective AML/CFT program is sufficient in the main. The MVEP framework suggests one addition: program effectiveness should be assessed against the operational capability of control-layer functions, not only against process compliance. This is addressed in Recommendation 2 below.

Question 10 (resource allocation): The proposed rule's determination that PPSIs are best placed to identify risks and allocate resources is correct. The MVEP framework supports this: resource allocation should be informed by the PPSI's position across the ten MVEP categories, with higher-intensity categories warranting more intensive allocation. The final rule should not prescribe specific resource allocations across categories.

Question 11 (establishing versus maintaining): The distinction is useful and should be retained. The MVEP framework supports this bifurcation: establishing a program means building the operational capability for each applicable category; maintaining the program means verifying that the capability remains functional (per Recommendation 2 on operational verification).

Question 12 (AML/CFT Priorities incorporation): PPSIs may encounter difficulty in mapping the AML/CFT Priorities to the specific operational touchpoints of their payment stablecoin activities. The MVEP framework assists by providing a stable taxonomy: Priorities related to sanctions evasion map primarily to Category 8 (Governance and Change Control, including block/freeze capability); Priorities related to fraud map primarily to Category 3 (Records and Reconciliation); Priorities related to transnational criminal organizations map across Categories 1, 3, and 8.

Questions 13 and 14 (risk assessment criteria and factors): Addressed in Recommendation 1 below. The MVEP framework suggests additional factors PPSIs should consider: (a) position across the ten MVEP categories, (b) reliance on third parties for any MVEP category, and (c) operational interdependencies between categories (for example, Category 5 insolvency risk in reserve custody can produce Category 3 records and reconciliation problems during a custodial disruption).

Question 15 (update timing): The “promptly” standard at proposed 31 CFR 1033.210(b)(1)(i)(C) is appropriately calibrated. The MVEP framework suggests that different categories may warrant different update triggers: Category 8 changes (including smart contract upgrades, deployment on new blockchains, or changes to block/freeze capability) should trigger immediate risk assessment update; Category 3 changes (including changes to recordkeeping or Travel Rule processes) should trigger update within 30 days. The final rule could include this calibration in preamble guidance.

Question 16 (flexibility for tailoring): The proposed requirements provide sufficient flexibility. The MVEP framework is itself calibrated to size and complexity: a small PPSI with limited business lines may have lower Control Layer Intensity Index scores across several categories, justifying proportionally lighter program elements. This flexibility is preserved in the NPRM’s outcomes-based approach.

Question 17 (secondary market CDD): PPSIs should consider information about secondary market transactions as part of CDD only when the secondary market information is linked to a specific primary market customer relationship. Blanket consideration of all secondary market activity is not operationally feasible and would dilute CDD effectiveness. The MVEP framework supports this bounded approach: CDD maps to Category 1 (Rights Parity), which is centered on the direct customer relationship rather than downstream transfers.

Questions 18 and 19 (written program and approval): The proposed rule’s requirement that the AML/CFT program be written and approved is appropriate. On Question 18, the final rule should clarify that the written program must address each of the program elements at proposed 31 CFR 1033.210(b)(1) through (b)(4), together with the recordkeeping, reporting, and technical capability requirements elsewhere in the rulemaking. On Question 19, approval should cover the overall program framework and any material revisions to the risk assessment methodology, governance structure, or control-layer capability, but not parameter-level settings. This maps to MVEP Category 8 (Governance and Change Control) and is reflected in Recommendation 7 below on the scope of the felony conviction prohibition for the AML/CFT officer.

The following table maps each recommendation to the FinCEN and OFAC questions it addresses and to the proposed rule section it implicates, for reviewers navigating the comment by question rather than by recommendation.

#	Recommendation	FinCEN/OFAC Q	Proposed rule section
1	Control-layer function mapping in PPSI risk assessments	Q13, Q14	31 CFR 1033.210(b)(1)(i)(A)
2	Operational verification of block/freeze/reject capability	Q27-Q30	31 CFR 1033.240(a); 1033.210(b)(2); 502.201(b)(4)
3	“Account” in lawful order definition should include wallet addresses	Q5, Q6, Q7	31 CFR 1010.100(rrr)
4	Sanctions compliance program integration with AML/CFT program	OFAC Q1, Q2	31 CFR 502.201(b); 1033.210(b)
5	SAR threshold and graduated secondary market framework	Q35-Q39	31 CFR 1033.320(a)(2); 1033.320(e)
6	Reserve custody relationships in PPSI risk assessments	Q46-Q49	31 CFR 1033.600, 1033.610, 1033.620
7	AML/CFT officer felony conviction prohibition scope clarification	Scope clarification	31 CFR 1033.210(b)(3)(iv)
8	Information sharing framework for interface operators	Q43-Q45	31 CFR 1033.520; 1033.540
9	Coordination with parallel rulemakings	Q20-Q23	31 CFR 1033.221; multiple
10	Effective date and phased implementation	Q50	Effective date provisions

Recommendation 1: Control-layer function mapping in PPSI risk assessments

Proposed 31 CFR 1033.210(b)(1)(i)(A) requires risk assessment processes to evaluate the money laundering and terrorist financing risks of the PPSI’s business activities, including products, services, distribution channels, customers, and geographic locations. The final rule should add an explicit requirement that risk assessments document which control-layer functions the PPSI performs directly versus through affiliates or third parties. This addresses Questions 13 and 14.

The final rule should require risk assessments to document: which entity operates the issuance function (mint and redemption); which entity holds reserve assets and under what custodial arrangements; which entity operates the routing layer (smart contract deployment, block/freeze/reject capability); which entity executes lawful orders; and which entities distribute the PPSI’s stablecoins to secondary market users (interface operators), along with the contractual or operational relationships governing those distributions.

This documentation requirement is consistent with the NPRM’s existing framework. Risk assessments already address distribution channels. The additional structure this recommendation proposes is a specific taxonomy of control-layer functions. A PPSI that performs all five functions internally has a different risk profile than a PPSI that relies on third-party interface operators for distribution or on affiliates for routing. The risk assessment should make these distinctions explicit.

For stablecoin issuers that issue both payment stablecoins and non-payment stablecoin digital assets, the risk assessment should document how the control-layer functions differ (if at all) across the two product categories. This addresses the coordination question flagged in section I.C above.

The companion comments on [FINCEN-2026-0034](#) and [91 Fed. Reg. 18304](#) each propose a corresponding requirement. The three together would produce consistent risk assessment practice across institutions whose activities span multiple supervisory domains, reducing both compliance burden (one integrated risk assessment rather than three separately calibrated ones) and supervisory divergence (consistent treatment of the same economic activity).

Recommendation 2: Operational verification of block/freeze/reject capability

Proposed 31 CFR 1033.240(a) requires PPSIs to have technical capabilities, policies, and procedures to block, freeze, and reject specific or impermissible transactions. The NPRM does not specify how the existence of this capability is to be verified. This addresses Questions 27, 28, 29, and 30.

The final rule should require, as part of independent testing under proposed 31 CFR 1033.210(b)(2), operational verification that the block/freeze/reject capability is functional for both primary market and secondary market transactions. Operational verification should include: periodic testing that the PPSI can block a specified wallet address within a defined operational timeframe; periodic testing that the PPSI can freeze stablecoins in a specified wallet within a defined operational timeframe; periodic testing that the PPSI can reject a specified transaction type; and documentation that tests are performed on both primary market interactions (direct customer accounts) and secondary market smart contract interactions.

The rationale for operational verification is that technical capability cannot be presumed from the existence of smart contract functions. Smart contracts can contain block or freeze functions that are not operationally active, that require multi-party signatures no longer available, or that have been inadvertently disabled by subsequent upgrades. The GENIUS Act's requirement is that the PPSI has the technical capability, which is a present-tense operational statement, not a historical one.

This recommendation is also consistent with the NPRM's broader framework. Proposed 31 CFR 502.201(b)(4) requires independent testing of the sanctions compliance program. The operational verification recommended here would be a specific component of that testing, applicable to both AML/CFT and sanctions compliance programs.

On Question 28 (aspects that could unintentionally constrain PPSIs' choice of technical or operational approaches): the NPRM's approach of specifying the capability outcome rather than prescriptive technical methods is the correct framing. Prescriptive technical requirements would become outdated as blockchain architectures evolve and would create supervisory expectations about specific implementations that could limit PPSIs' ability to adopt improvements. The research program supports this flexibility approach. The operational verification requirement preserves flexibility (no specific verification method is prescribed) while ensuring the capability is functional.

On Question 30 (technical, operational, or architectural challenges): PPSIs face four implementation challenges that warrant supervisory awareness:

1. Smart contract immutability constrains retroactive application of block/freeze functions to historical transactions; the capability generally operates prospectively.
2. Cross-chain bridges and wrapped stablecoin representations create scenarios in which the PPSI's smart contract capability may not extend to bridged representations on other chains.
3. Smart contract upgrade processes carry operational risk; upgrades can inadvertently disable or modify block/freeze functions, and the operational verification requirement addresses this risk directly.
4. Coordination with secondary market venues (digital asset exchanges, interface operators) creates information gaps about which parties are attempting to use PPSI stablecoins in restricted ways.

The final rule should expect PPSIs to document these challenges in their risk assessments (per Recommendation 1) and address them through their internal policies, procedures, and controls.

On Questions 31 and 32 (lawful order capability scope and secondary market clarity): the research program supports the NPRM’s approach of applying lawful order capability to both primary and secondary market activity. The wallet address clarification in Recommendation 3 below addresses the principal remaining ambiguity about reasonable particularity in lawful orders.

The companion comment on [FINCEN-2026-0034](#) extends the same principle to independent testing generally (Recommendation 5 of that filing): for control-layer operators, testing must evaluate demonstrated capability, not inferred capability. The PPSI-specific operational verification requirement proposed here is the technical-capability application of that principle.

Recommendation 3: “Account” in the lawful order definition should include wallet addresses

Question 7 asks whether the definition of account in the lawful order definition at proposed 31 CFR 1010.100(rrr) should include wallet addresses. The research program recommends that the final rule clarify that account, for purposes of lawful orders, includes any identifier used to hold a payment stablecoin, including a wallet address.

The structural reason is noted in Section II.C above. A lawful order must specify the accounts subject to blocking with reasonable particularity. If wallet addresses are not included within the definition of account, a lawful order targeted at a specific wallet address may be challenged as insufficiently particular. This would create a gap in the control-layer mandate: the routing-layer capability operates on wallet addresses, but court orders could not compel action on wallet addresses.

The clarification is consistent with the GENIUS Act’s policy intent. The Act specifically contemplates that lawful orders may require PPSIs to seize, freeze, burn, or prevent transfer of stablecoins, and the operational target of such actions is typically a wallet address. The final rule should make this explicit, either by adding a clarifying sentence to the definition of lawful order at proposed 31 CFR 1010.100(rrr) or by including the clarification in the preamble to the final rule.

On Question 5 (definitional clarity): the research program assesses the proposed definitions as sufficiently clear in the main, with the wallet address clarification above being the principal additional item. The new definitions at proposed 31 CFR 1010.100(ppp) through (xxx) adopt GENIUS Act language consistently; the technical modifications FinCEN proposes are generally appropriate to reconcile with existing FinCEN definitional architecture.

On Question 6 (boundary products): two categories of products warrant additional attention in the final rule or in accompanying guidance. First, tokenized deposits may, in some configurations, share structural features with payment stablecoins. The GENIUS Act’s exclusion of deposits from the payment stablecoin definition addresses this in principle; the final rule should clarify that a tokenized deposit whose issuer represents it will maintain stable value relative to fiat currency remains excluded from the payment stablecoin definition so long as it meets the statutory definition of a deposit under 12 U.S.C. 1813. Second, stablecoin-like products pegged to a basket of assets (rather than a single fiat currency) fall outside the payment stablecoin definition. The final rule should clarify that such products remain subject to MSB regulation under the general FinCEN AML framework, and that a PPSI cannot avoid PPSI obligations by reformulating a single-currency-pegged product as a basket-pegged product.

Recommendation 4: Sanctions compliance program integration with AML/CFT program

Proposed 31 CFR 502.201(b) requires a sanctions compliance program with five elements. Proposed 31 CFR 1033.210(b) requires an AML/CFT program. In practice, PPSIs will likely operate these as an integrated compliance function, as the NPRM's Regulatory Impact Analysis acknowledges at section XII.A.4.ii.a. This addresses OFAC Questions 1 and 2.

The final rule should explicitly permit, though not require, integration of the sanctions compliance program with the AML/CFT program, subject to the following conditions: (a) the risk assessment processes under proposed 31 CFR 1033.210(b)(1)(i) and proposed 31 CFR 502.201(b)(2) address both ML/TF risks and sanctions risks, with distinct documentation of each; (b) internal controls under proposed 31 CFR 502.201(b)(3) and AML/CFT program controls under proposed 31 CFR 1033.210(b)(1) are documented separately or with explicit mapping between the two; and (c) independent testing under proposed 31 CFR 502.201(b)(4) and proposed 31 CFR 1033.210(b)(2) covers both programs, with test results that distinguish between AML/CFT and sanctions compliance findings.

The integration allowance is consistent with efficient compliance operation. The documentation requirements preserve the ability of both FinCEN and OFAC to examine compliance with their respective program requirements. The integration allowance also reduces compliance costs without reducing compliance effectiveness, which is consistent with the NPRM's RIA analysis of the regulatory baseline.

Recommendation 5: SAR threshold calibration and graduated secondary market framework

Proposed 31 CFR 1033.320(a)(2) establishes a \$5,000 SAR threshold for PPSIs, consistent with CIP-subject institutions. This is a material change from the current \$2,000 threshold for MSBs. The NPRM does not impose a secondary market SAR obligation. Questions 35 and 39 address these points.

On the threshold: the \$5,000 calibration is reasonable for PPSI primary market activity, where transactions are typically larger than retail transactions at money transmitters. The research program does not recommend adjustment of the threshold.

On secondary market SAR reporting: the research program recommends that the final rule include a graduated secondary market SAR framework, not a blanket secondary market SAR obligation. The framework should include two specific circumstances in which secondary market SAR reporting is required: (a) when a PPSI has received a section 314(a) request identifying a specific wallet address, and the PPSI identifies secondary market activity involving that wallet address subsequent to the request; and (b) when a PPSI has executed a block, freeze, or reject action with respect to a specific wallet address under proposed 31 CFR 1033.240(a), and the PPSI identifies secondary market activity involving related wallet addresses subsequent to the action.

These two circumstances address the information gap the NPRM identifies (PPSIs may have limited insight into secondary market activity) while creating specific, actionable reporting obligations tied to the PPSI's existing operational touchpoints with secondary market activity. The research program does not recommend broader secondary market SAR obligations at this time, as the NPRM's analysis of the information gap is consistent with the research program's analysis. The voluntary secondary market SAR safe harbor at proposed 31 CFR 1033.320(e) should be preserved as written.

On Question 36 (specific transaction types warranting additional clarification): three transaction types warrant specific clarification in the final rule or in accompanying guidance:

1. Transactions in which a PPSI-issued stablecoin is converted to or from a tokenized deposit issued by the same parent insured depository institution.

2. Cross-chain bridging transactions where a PPSI-issued stablecoin is wrapped or represented on another blockchain.
3. Transactions involving stablecoin-to-stablecoin exchange where multiple PPSIs are involved.

The final rule should address whether SAR reporting obligations apply across these transaction types, and which PPSI (if multiple are involved) is obligated to file.

On Question 37 (joint SAR filing for subsidiary PPSIs): the NPRM's provision at proposed 31 CFR 1033.320(d)(1)(ii)(B) adequately addresses this by permitting SAR sharing between a PPSI subsidiary and its parent insured depository institution. No modification is recommended. The provision appropriately recognizes the enterprise-wide nature of AML/CFT compliance where a PPSI operates within a larger banking organization.

On Question 38 (interaction between SAR reporting and block/freeze/reject, recordkeeping, and lawful order obligations): the final rule should clarify three specific interaction points:

1. The execution of a block/freeze/reject action under proposed 31 CFR 1033.240(a) does not itself constitute a suspicious transaction triggering mandatory SAR reporting, absent other indicia of suspicion.
2. Compliance with a lawful order under proposed 31 CFR 1033.240(b) does not itself constitute a suspicious transaction, absent other indicia of suspicion.
3. Records of block/freeze/reject actions and lawful order compliance should be retained for five years consistent with other BSA recordkeeping, but should be maintained separately from SAR records to preserve the distinct confidentiality protections that apply to SARs under proposed 31 CFR 1033.320(d).

The graduated secondary market SAR framework proposed above addresses the forward-looking interaction (where a block or freeze generates information about related wallet addresses) while this clarification addresses the backward-looking interaction (where the act of blocking or freezing itself does not automatically trigger a SAR).

Recommendation 6: Reserve custody relationships in PPSI risk assessments

Proposed 31 CFR 1033.600, 1033.610, and 1033.620 apply enhanced due diligence for correspondent accounts for foreign financial institutions and private banking accounts. The NPRM does not specifically address the AML/CFT risks of the relationships between PPSIs and the banks that hold PPSI reserve assets. Questions 46, 47, 48, and 49 address special standards of diligence.

The final rule should include a specific provision addressing PPSI reserve custody relationships. When a PPSI maintains reserve assets with a bank (including a foreign bank), the PPSI's risk assessment under proposed 31 CFR 1033.210(b)(1)(i) should address the concentration risk, jurisdictional risk, and operational risk of that custody relationship. This is not strictly a correspondent account relationship under the traditional definition, but it has analogous risk characteristics.

The Federal Reserve FEDS Note by Du, Sonawane, and Watsky (December 17, 2025, [DOI 10.17016/2380-7172.3958](https://doi.org/10.17016/2380-7172.3958)) documents the custodial concentration channel of stablecoin peg instability during the March 2023 Silicon Valley Bank episode. When Circle disclosed that USDC reserves included approximately \$3.3 billion at Silicon Valley Bank, the resulting deviation from peg was substantial and extended across the stablecoin market. This channel operates through the reserve custody relationship, not through the PPSI's direct customer relationships. The AML/CFT framework should address risks operating through this channel, and the illicit finance risk of a reserve custodian itself is a distinct category of risk that

warrants explicit attention in the risk assessment process.

The final rule should require that PPSI risk assessments address: the identity and jurisdictional location of banks holding PPSI reserve assets; the concentration of reserve assets across reserve custodians; the AML/CFT and sanctions compliance programs of those reserve custodians, to the extent this information is available to the PPSI; and contingency plans for reserve custody disruption.

This recommendation complements the OCC's PPSI operational requirements rulemaking (OCC-2025-0372), which addresses reserve composition and custody from a safety and soundness perspective. The AML/CFT framework should address the same channel from an illicit finance perspective.

Recommendation 7: AML/CFT officer felony conviction prohibition scope clarification

Proposed 31 CFR 1033.210(b)(3)(iv) incorporates the GENIUS Act's prohibition on designating as the AML/CFT officer any individual convicted of a felony offense involving insider trading, embezzlement, cybercrime, money laundering, terrorism financing, or financial fraud. The scope of this prohibition is unclear in three specific respects.

The final rule should clarify: (a) whether foreign convictions count. The statutory language does not specify, and the final rule should clarify that foreign convictions for equivalent offenses count, subject to the principle that the foreign conviction must have been for conduct that would constitute a felony offense of one of the specified types under U.S. law. (b) Whether there is a time horizon. A felony conviction from 30 years ago for financial fraud presents a different risk profile than a conviction from 3 years ago. The final rule should specify whether the prohibition is lifetime or whether it operates with a lookback period. If a lookback period applies, the rule should specify its length. (c) Whether the prohibition extends to expunged or pardoned convictions. Different states have different rules on expungement; the final rule should specify federal policy.

The research program does not take a position on the appropriate resolution of these questions; it recommends that the final rule resolve them explicitly rather than leaving them to be addressed in supervisory practice.

Recommendation 8: Information sharing framework for interface operators

Proposed 31 CFR 1033.520 and 1033.540 apply sections 314(a) and 314(b) of the USA PATRIOT Act to PPSIs. The NPRM does not specifically address how these information sharing provisions interact with interface operators (digital asset exchanges and other entities that distribute PPSI-issued stablecoins to secondary market users). Questions 43, 44, and 45 address information sharing.

The final rule should clarify the information sharing framework between PPSIs and their interface operators. Where an interface operator is independently registered as an MSB or is otherwise a BSA financial institution, the interface operator and the PPSI should be able to participate in 314(b) information sharing with respect to stablecoin-related activity, including for the purpose of identifying secondary market transactions that may warrant SAR reporting by the interface operator. The safe harbor protections under 31 U.S.C. 5318(g)(3) should extend to information sharing between PPSIs and their interface operators, subject to the interface operator's own BSA reporting obligations. The final rule should also address whether a PPSI's receipt of a 314(a) request should trigger outreach to interface operators that distribute the PPSI's stablecoins, for the purpose of identifying secondary market activity involving the subject of the request.

The rationale is that interface operators are often better positioned than PPSIs to identify illicit activity in

secondary market transactions, because interface operators maintain customer relationships with secondary market participants. A coordinated information sharing framework between PPSIs and interface operators would increase the quality of SAR reporting and the responsiveness to 314(a) requests.

The information sharing framework proposed here is the PPSI channel for interface operator engagement. The companion comment on [FINCEN-2026-0034](#) addresses whether an interface operator itself bears AML/CFT program obligations (Recommendation 2 of that comment, on the disqualifying-activities analog). The companion comment on [91 Fed. Reg. 18304](#) addresses how banks providing correspondent services to interface operators should evaluate that exposure in their risk assessments (Recommendation 1 of that comment). The three channels together determine whether illicit activity at the interface layer is detected through the interface operator's own program, through the PPSI's third-party diligence, or through the bank correspondent relationship.

Recommendation 9: Coordination with parallel rulemakings

The NPRM is one of three parallel AML rulemakings published April 10, 2026, with comments due June 9, 2026. The other two are the FinCEN general AML/CFT program NPRM (FINCEN-2026-0034) and the banking agency joint NPRM ([91 Fed. Reg. 18304](#)). The research program has filed or will file comments on both.

The final rule should include specific provisions (or a companion interpretive statement) addressing three coordination points:

1. Where a PPSI is also registered in some capacity as an MSB during a transition period, the final rule should clarify which set of obligations applies during the transition, despite the MSB carve-out at proposed 31 CFR 1010.100(ff)(8)(iii).
2. Where a PPSI is a subsidiary of an insured depository institution, the final rule should clarify the interaction between the PPSI's AML/CFT program obligations under proposed 31 CFR 1033.210 and the parent IDI's AML/CFT program obligations under the banking agency NPRM. The NPRM at section VI.A.2.i addresses this in part; the final rule should provide more specific guidance on enterprise-wide program design.

This is the PPSI-as-subsidary configuration. A distinct configuration exists where the insured depository institution itself operates as a Federal Qualified Payment Stablecoin Issuer; the bank and the FQPSI are the same entity, with a single AML/CFT program covering both bank and stablecoin activities. The companion comment on [91 Fed. Reg. 18304](#) addresses the FQPSI-as-bank configuration (Recommendation 1 of that comment). The supervisory treatment of the two configurations should be coordinated in the final rules so that economically similar activities produce consistent AML/CFT obligations regardless of whether the PPSI is structured as a subsidiary or as a function of the bank itself.

3. The Federal Reserve Board did not join the banking agency NPRM. The banking agency NPRM at [91 Fed. Reg. 18304](#) is a re-issuance of a 2024 joint rule that included the Board, and the 20-month interval between the 2024 proposal and the 2026 re-issuance is sufficient for the Board to have rejoined if it had sought to. The Board's non-participation in 2026 is therefore structural, not a scheduling artifact, and the coordination gap for PPSI-related supervision should be addressed in this rulemaking rather than deferred to a possible future Board action. The final rule should include language addressing how coordination will be maintained in the event of continued FRB separation, and how it will be extended in the event of subsequent FRB participation, for banks subject to Federal Reserve supervision that become PPSIs or that hold PPSI reserves. The absence

of FRB participation creates a potential gap in supervisory consistency for banks that span multiple supervisory jurisdictions, and the final rule should address how this gap will be managed.

On the supervision and enforcement framework at proposed 31 CFR 1033.221 (Questions 20 through 23), the research program supports application of the framework to PPSIs. The consultation mechanism between FinCEN and the primary Federal payment stablecoin regulators under proposed 31 CFR 1033.221(c) is structurally analogous to the mechanism proposed for banks in FINCEN-2026-0034. The research program's analysis indicates that supervisory consistency for PPSIs is particularly important given the novelty of the PPSI regulatory category and the potential for supervisory divergence across four primary Federal payment stablecoin regulators (OCC, Board, FDIC, NCUA) and state regulators. The consultation framework should be adopted as proposed, with the coordination provisions above addressed in the final rule.

Recommendation 10: Effective date and phased implementation

Question 50 asks for comment on the proposed 12-month effective date. The research program recommends a 12-month effective date for most provisions, with two phased extensions.

First, operational verification of block/freeze/reject capability under Recommendation 2 above should be subject to an 18-month effective date, to permit PPSIs to build, test, and document the verification protocols. Second, the coordination provisions under Recommendation 9 should be subject to a 24-month effective date, to permit the final rules across the three parallel rulemakings to come into effect and for interpretive coordination to occur.

The research program does not recommend extensions beyond these specific provisions. The general 12-month effective date is appropriate for the substantive obligations of the NPRM. Extensions should be targeted at specific operational points where the cross-rulemaking coordination or technical buildout is the binding constraint.

IV. Response to OFAC question set: Five-element control-layer framework

The OFAC question set (Questions 1 through 7 in section X of the NPRM preamble) is addressed below by applying the five-element sanctions compliance program structure at proposed 31 CFR 502.201(b) as the organizing framework. The five elements (senior management and organizational commitment; risk assessments; internal controls; testing and auditing; training) together operationalize the control-layer mandate of the GENIUS Act. The research program's position is that each element should be assessed against its contribution to the PPSI's functional capability to identify, block, freeze, reject, or lawfully order action on sanctions-implicated transactions across both primary and secondary market activity.

Element 1: Senior management and organizational commitment (proposed 31 CFR 502.201(b)(1))

No OFAC question targets Element 1 directly. One interpretive consideration should inform the final rule. PPSI senior management configurations will vary by entity type: subsidiaries of insured depository institutions have board oversight through the parent IDI; Federal qualified payment stablecoin issuers have OCC-approved governance structures; state qualified payment stablecoin issuers have state-approved structures. The final rule should interpret Element 1 flexibly to accommodate these different configurations, provided the functional requirements (review, approval, and support of the compliance program with authority and autonomy over the compliance function) are met. This interpretive flexibility

is consistent with the GENIUS Act's direction that regulations be tailored to the size and complexity of the PPSI.

Element 2: Risk assessments (proposed 31 CFR 502.201(b)(2)): Question 6

Question 6 (risk factors for sanctions risk assessments): PPSIs should consider risk factors across five categories:

1. Customer risk: direct customer jurisdiction, entity type, beneficial ownership, and the customer's own sanctions compliance program.
2. Product risk: the specific features of the payment stablecoin, including whether the stablecoin is deployed on multiple blockchains and which blockchains.
3. Transaction risk: volume, frequency, and counterparty patterns in both primary and secondary market activity, with specific attention to patterns consistent with sanctions evasion typologies.
4. Geographic risk: jurisdictional exposure through counterparties and through wallet address associations with sanctioned jurisdictions (including through blockchain analytics-identified exposures).
5. Technological risk: the PPSI's technical capability to execute the internal controls at Element 3, including the scalability and resilience of block/freeze/reject capability under high-volume conditions.

The MVEP framework applied to Questions 8 through 19 above provides additional structure: risk factors should be cross-referenced to the relevant MVEP categories, with Category 8 (Governance and Change Control) receiving particular attention for sanctions-implicated operational risks, together with the Control Layer Intensity Index (CLII) for characterizing the operator's overall control-layer intensity.

Element 3: Internal controls (proposed 31 CFR 502.201(b)(3)): Questions 2, 3, 4, and 5

Element 3 bears the largest share of the OFAC question set because it operationalizes the control-layer mandate.

Question 2 (payment stablecoin-related activity definition scope): The definition at proposed 31 CFR 502.303 is appropriately scoped to capture the full lifecycle of a payment stablecoin, including secondary market activity. The definition's inclusion of issuing, trading, holding, transacting, transferring, redeeming, or any other activity appropriately covers the control-layer functions identified in Recommendation 1 above. No modification is recommended.

Question 3 (best practices for policies, procedures, and internal controls): The research program identifies five best practices that PPSIs should consider:

1. Policies and procedures should be versioned, with version history preserved to demonstrate compliance posture at the time of any apparent violation.
2. Internal controls should include both preventive controls (wallet-address-level SDN List screening at the smart contract layer) and detective controls (post-transaction monitoring for patterns consistent with sanctions evasion).
3. Sanctions screening should operate at both the customer onboarding stage (primary market) and the routing stage (secondary market via smart contract logic).
4. Controls should be tested against specific sanctions scenarios, not only against general sanctions lists.
5. Incident response procedures should address both false negatives (failed detection) and false positives (over-blocking), with documented resolution processes that preserve due process for

legitimate users whose wallets may be incorrectly associated with sanctioned activity.

Question 4 (technical, operational, or architectural controls for block/freeze/reject): Effective technical controls include real-time sanctions screening at the smart contract level (including wallet address screening against SDN List wallet addresses); pre-issuance screening of direct customers; post-redemption screening; geolocation controls where operationally feasible; and routing-layer screening of smart contract interactions involving known sanctioned addresses. These controls are consistent with OFAC's 2021 Sanctions Compliance Guidance for the Virtual Currency Industry and with current market practice among larger stablecoin issuers. For the specific example cited in Question 4 (rejecting secondary market transactions involving Iran), PPSIs should implement transaction-level geolocation screening combined with wallet address screening against known Iran-linked addresses, and should document the specific data sources and refresh cadence used for each screening category.

Question 5 (flexibility for technical implementation): The proposed rule appropriately affords PPSIs flexibility. The research program supports the NPRM's outcomes-based approach. Prescriptive technical requirements would become outdated and would create supervisory expectations about specific implementations that could limit PPSIs' ability to adopt technical improvements. The flexibility is particularly important given the heterogeneity of PPSI business models (different blockchains, different smart contract architectures, different user bases). The operational verification requirement proposed in Recommendation 2 above preserves flexibility at the implementation level while ensuring the capability itself is functional.

Element 4: Testing and auditing (proposed 31 CFR 502.201(b)(4))

No OFAC question targets Element 4 directly. The operational verification requirement proposed in Recommendation 2 above is the research program's principal contribution on this element. Independent testing under Element 4 should verify that the internal controls at Element 3 function as designed, particularly the block/freeze/reject capability for both primary and secondary market activity. The testing should also verify that sanctions screening tools (SDN List screening, blockchain analytics integrations, geolocation controls) are correctly configured and updated in response to changes in OFAC's SDN List and related sanctions authorities.

Element 5: Training (proposed 31 CFR 502.201(b)(5))

No OFAC question targets Element 5 directly. The research program notes one consideration: training for PPSI personnel must address both traditional sanctions topics (SDN List, blocked persons, geographic restrictions) and digital-asset-specific topics (wallet address screening, smart contract logic, cross-chain considerations, blockchain analytics interpretation). Training programs that cover only the traditional topics will not equip personnel to identify and respond to sanctions risks specific to payment stablecoin activity. OFAC's 2021 Virtual Currency Industry Guidance provides a starting point for the digital-asset-specific training content.

Question 7 (effective date)

The 12-month effective date is appropriate for sanctions compliance program establishment. The five-element structure is consistent with existing OFAC guidance and with current market practice among PPSIs likely to qualify under the GENIUS Act. The phased extensions proposed in Recommendation 10 above (18 months for operational verification of block/freeze/reject capability, 24 months for coordination provisions) address specific operational buildout concerns but do not extend to the sanctions compliance program establishment itself.

Question 1 (overall clarity of minimum elements)

The five-element structure at proposed 31 CFR 502.201(b) is clear in the main. The research program's recommendations strengthen operational specificity in two places. First, the operational verification requirement at Recommendation 2 strengthens Element 3 (internal controls) and Element 4 (testing and auditing) by requiring demonstrated functionality rather than presumed functionality. Second, the clarifications to the payment stablecoin-related activity scope at Element 3 (through the definition at proposed 31 CFR 502.303 and the boundary product discussion in Recommendation 3) address definitional uncertainty that could otherwise create gaps in the five-element framework's application to specific PPSI activities.

V. Closing

The joint FinCEN-OFAC NPRM at FINCEN-2026-0100 operationalizes the first statutory control-layer mandate in U.S. financial regulation. This is a structural regulatory innovation with implications that extend beyond the PPSI category. Subsequent rulemakings addressing tokenized financial infrastructure (including tokenized deposits, tokenized securities, and other digital asset categories) will likely adopt similar operational-capability requirements. The form this rulemaking takes will therefore shape how subsequent federal rulemakings address the operator and router dimensions of tokenized financial infrastructure.

The research program supports the NPRM's structural approach. The exercise of 31 U.S.C. 5312(a)(2)(Y) authority, the primary/secondary market framework, the MSB carve-out at proposed 31 CFR 1010.100(ff)(8)(iii), the dual application of block/freeze/reject and lawful order capability to both markets, and the five-element sanctions compliance program structure are each consistent with regulating and auditing the operator and router rather than the token itself.

The ten recommendations in this comment are directed at specific operational points where the final rule can strengthen the overall framework without altering its structural approach. The highest-leverage recommendations are operational verification of technical capability (Recommendation 2), clarification of "account" in the lawful order definition (Recommendation 3), and reserve custody risk assessment (Recommendation 6). The coordination recommendations (Recommendation 9) address the three-rulemaking landscape in which this NPRM sits.

The research program's companion comments on [FINCEN-2026-0034](#) (general AML/CFT program) and [91 Fed. Reg. 18304](#) (banking agency joint rule) address the overlapping frameworks for other financial institution types. The three filings are intended to be read together.

Tokenization Systems is available to discuss any of the recommendations in this comment.

Respectfully submitted,

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Appendix: Cross-reference to NPRM questions

Question #	Topic	Addressed in
Q4	MSB carve-out	Section I.C, Recommendation 9
Q5	Definitional clarity	Recommendation 3
Q6	Boundary products (tokenized deposits, basket-pegged products)	Recommendation 3
Q7	Lawful order “account” definition	Section II.C, Recommendation 3
Q8	Secondary market risks	MVEP framework subsection
Q9	Effective program clarity	MVEP framework subsection
Q10	Resource allocation	MVEP framework subsection
Q11	Establishing versus maintaining program	MVEP framework subsection
Q12	AML/CFT Priorities incorporation	MVEP framework subsection
Q13, Q14	Risk assessment criteria and factors	MVEP framework subsection, Recommendation 1
Q15	Risk assessment update timing	MVEP framework subsection
Q16	Flexibility for tailoring	MVEP framework subsection
Q17	Secondary market CDD consideration	MVEP framework subsection
Q18, Q19	Written program and approval scope	MVEP framework subsection, Recommendation 7
Q20–Q23	Supervision framework	Recommendation 9
Q27, Q29	Block/freeze/reject refinement and secondary market scope	Recommendation 2
Q28	Avoiding unintended constraints on technical approaches	Recommendation 2
Q30	Technical, operational, and architectural challenges	Recommendation 2
Q31, Q32	Lawful order capability scope (primary and secondary market)	Recommendations 2, 3
Q35	Clarity of secondary market SAR scope	Recommendation 5
Q36	Specific transaction types for SAR clarification	Recommendation 5
Q37	Joint SAR filing for subsidiary PPSIs	Recommendation 5
Q38	Interaction of SAR with block/freeze/reject and lawful orders	Recommendation 5
Q39	Reconsideration of secondary market SAR obligation	Recommendation 5
Q43, Q44, Q45	Information sharing	Recommendation 8
Q46, Q47, Q48, Q49	Special standards of diligence	Recommendation 6

Question #	Topic	Addressed in
Q50	Effective date	Recommendation 10
OFAC Q1	Overall clarity of minimum elements	Section IV
OFAC Q2	Payment stablecoin-related activity definition	Section IV (Element 3)
OFAC Q3	Best practices for policies, procedures, and internal controls	Section IV (Element 3)
OFAC Q4	Technical controls for block/freeze/reject	Section IV (Element 3)
OFAC Q5	Flexibility for technical implementation	Section IV (Element 3)
OFAC Q6	Risk factors for sanctions risk assessments	Section IV (Element 2)
OFAC Q7	Effective date	Section IV, Recommendation 10